After the non-call period, equity investors can ask to reset the structure or to refinance some selected tranches or to redeem all tranches of the CLO. The reset and the refinancing features allow to reprice one or more tranches when the spreads in the primary market drop significantly in order to adjust the interest payments and to enable the equity investors to get similar payments to what they would have been paid in a new transaction. To reset and to refinance the tranches, the issuer ends the original transaction and issues a new CLO with lower spreads. The proceeds of the new notes are used to redeem the reset or the refinanced notes. Original investors have no obligation to purchase the new tranches. The difference between both features is that in a reset the new CLO have the same lifecycle as a new transaction except the warehousing phase since the portfolio is already 100% ramped-up while in a refinancing the issuer changes only the spreads without starting over the reinvestment period and extending the maturity of the CLO. The new spreads are generally slightly lower than the spreads of new issues as the repriced structure has a lower risk related to the composition of the collateral. Equity investors can also ask the issuer to liquid all the assets in the portfolio to refund the repayment of the notes.

RISKS RELATED TO CLOS

Investors in CLO tranches face several risks related to their investment. Exposure to these risks defines the risk/return profile of each investment. The main risks are described below.

- **Credit risk** is the risk that a change in the credit quality of the loans counterparties would affect the value of the assets underlying the CLO structure. The credit risk related to CLOs is mainly inherent to the default risk which is the possibility that one or more companies will be unable to pay the contractual interests or to repay the par amount of the loan at the end. Senior tranches are generally not concerned with defaults since they are protected by lower tranches in the structure.
- **Reinvestment risk** comes from the possible difficulties that the manager might face to find suitable assets to reinvest the principal proceeds during the reinvestment period. Reinvestment risk in very significant since the leverage loans market in very illiquid.
- **Asset manager risk** relates to the ability of the asset manager to manage the collateral. In fact the asset manager has a key role in enhancing the performances of the tranches and reducing the exposure to the credit risk.
- **Liquidity risk** captures the fact that the investor might not be able to sell a tranche on the secondary market quickly enough to avoid losses. This risk is important for CLO investors. A part of the high returns of the AAA tranche, when compared to sovereign bonds of same rating, may stems from the liquidity risk. This risk also applies to the collateral, which may be quite illiquid too, especially in connection with the reinvestment risk described above.
- **Prepayment risk** relates to the fact that companies can repay the loan's principal in advance. Therefore, future interests on that part of the collateral will not be paid. Prepayment risk has an impact even during the reinvestment period as the new purchased loans may not yield as much interests as the prepaid ones. After the reinvestment period, the prepayments of the loans accelerate the repayment of the notes. Hence, the noteholders may face additional risk related to possible difficulties to reinvest the repayment cash received in advance in other sources of return.
- **Interest rate risk** is difficult to capture because it stems from both collateral and notes. A risk of mismatch between interest payment in assets and in notes may arise (fixed vs. floating rates, difference of frequencies…). Interest rate risk is generally marginal since it can be hedged using swaps within the CLO structure. However the implementation of the hedge is complex du to defaults and prepayments on the loans. It should be observed that most notes have a floor on their coupon. It means that, implicitly, the note holder buys a floor option on the underlying rate. Hence, a dependence on interest rate implied volatility. Generally, most of the loans in the underlying portfolio have interest payments based on a floating interest rate. The same is true for the tranches.
- **Currency risk** may appear in certain transactions where it is possible to invest in loans with different currencies. Currency risk is hedged within the structure, but this hedge is difficult to implement due to default or prepayment risks the loans. Anyway, this category of deal is not the mainstream in CLO issuance.